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in the

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UNITED STATES COURT OF CLAIMS

AND

UNITED STATES COURT OF CUSTOMS AND PATENT APPEALS

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1969

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AND
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the Attorney General to use whatever information he has. * * * Moreover, the very nature of the decision he must make concerning what the foreign country is likely to do is a political issue into which the courts should not intrude."

This Court has recently reaffirmed its adherence to this rule in Hosseinmardi v. Immigration and Naturalization Service, (March 22, 1968) 405 F.2d 25 (9th Cir.) and Asghari v. Immigration and Naturalization Service, (May 28, 1968) 396 F.2d 391 (9th Cir.).

The Board's order is, therefore, affirmed.



CHENG FU SHENG, Petitioner,

v.

UNITED STATES IMMIGRATION AND NATURALIZATION SERVICE, Respondent.

LIN FU MEI, Petitioner,

v.

UNITED STATES IMMIGRATION AND NATURALIZATION SERVICE, Respondent.

Nos. 22055, 22056.

United States Court of Appeals
Ninth Circuit.

Sept. 3, 1968.

Certiorari Denied Jan. 20, 1969.
See 89 S.Ct. 690.

Petitioners sought review of order of Immigration and Naturalization Service denying discretionary relief from deportation to Republic of China in Formosa. The Court of Appeals held that evidence sustained finding that petitioners would not be subject to political persecution upon deportation to Republic of China, although they might well be prosecuted for violation of armed forces criminal code of that country.

Affirmed.

Aliens ⇐54.1(4)

Evidence sustained finding that aliens would not be subject to political persecution upon deportation to Republic of China in Formosa, although they might well be prosecuted for violation of armed forces criminal code of that country, in proceeding for review of order of Immigration and Naturalization Service denying withholding of deportation. Immigration and Nationality Act, § 243 (h), 8 U.S.C.A. § 1253(h).

Fallon, Hargreaves & Bixby, San Francisco, Cal., for petitioners.

Cecil Poole, U. S. Atty., Stephen M. Suffin, San Francisco, Cal., Joseph Sureck, Regional Counsel, INS, San Pedro, Cal., for respondent.

Before HAMLIN and MERRILL, Circuit Judges, and WHELAN, District Judge.

PER CURIAM:

Both petitioners seek review of an order of the Immigration and Naturalization Service, entered May 3, 1968, denying discretionary relief under § 244 (a) (1) of the Immigration and Nationality Act, 8 U.S.C. § 1254(a) (1), and the withholding of deportation to the Republic of China in Formosa under § 243(h) of the Act, 8 U.S.C. § 1253(h).

Their claim to the Service was that they would, if returned to Formosa, be persecuted for their political opinions. The Service refuted their claims and the testimony of their expert witnesses with a letter from the State Department stating in effect that on the basis of information available it was not considered likely that the petitioners would be subjected to political persecution if deported to Formosa, but that they might well be prosecuted for violation of the Armed Forces Criminal Code of the Republic of China. The Board of Immigration Appeals found on the record that the evidence "does not sustain a finding of persecution within § 243(h), either upon the merits or as a matter of discretion."

The record sustains that holding. Kasravi v. INS, 400 F.2d 675 (9th Cir. July 23, 1968); Hosseinmardi v. INS, 391 F.2d 914 (9th Cir. 1968).

Other than the claim of persecution no showing of hardship was made to support a claim for discretionary relief under § 244(a) (1).

Affirmed.



Crumes H. DUNN and Ruth Adele Dunn, Appellants,

v.

UNITED STATES of America, Appellee (two cases).

DUNN-McLEAN ENTERPRISES, INC., Appellant,

v.

UNITED STATES of America, Appellee.

Allie McLEAN, for herself, and as Devisee of R. L. McLean, Deceased, Appellant,

v.

UNITED STATES of America, Appellee (two cases).

Nos. 9253-9257.

United States Court of Appeals Tenth Circuit.

Sept. 30, 1968.

Rehearing Denied Jan. 20, 1969.

Actions to recover income taxes paid. The United States District Court for the Western District of Oklahoma, Frederick A. Daugherty, J., 259 F.Supp. 828, entered a judgment adverse to the taxpayer which appealed. The Court of Appeals, Seth, Circuit Judge, held that evidence supported finding that gallonage payments from corporation to partners who had transferred subfranchises to corporation were not bona fide payments for franchises as to which partners would have been entitled to capital gains treatment, but were a distribution of dividends or profit to stockholders subject to taxation as ordinary income as transaction was not a bona fide one but rather an arrangement to divert what would have otherwise been corporate earnings.

Affirmed.

1. Internal Revenue ⇐2162

Evidence supported finding that gallonage payments from corporation to partners who had transferred subfranchises to corporation were not bona fide payments for franchises as to which partners would have been entitled to capital gains treatment, but were a distribution of dividends or profit to stockholders subject to taxation as ordinary income as transaction was not a bona fide one but rather an arrangement to use payments to divert what would have otherwise been corporate earnings. 28 U.S.C.A. § 1346(a) (1).

2. Internal Revenue ⇐720

Although subfranchises from state franchise holder were terminable under certain conditions subfranchises had an otherwise indeterminable life so that payments to state franchiser of 28 cents per gallon of mix used for certain months of year and 17 cents per gallon for the remaining year were not entitled to be deducted by corporation as depreciation, and payments became part of basis of property.

Charles Dunn and Dennis I. Meyer, Tulsa, Okl. (Andre M. Saltoun, Tulsa, Okl., with them on the brief), for appellants.

Grant W. Wiprud, Washington, D. C. (Mitchell Rogovin, Asst. Atty. Gen., Lee A. Jackson, David O. Walter, Martin T. Goldbaum, Attys., Dept. of Justice, Washington, D. C., B. Andrew Potter, U. S. Atty., of counsel, with him on the brief), for appellee.

Before JONES*, BREITENSTEIN and SETH, Circuit Judges.

* Of the Fifth Circuit, sitting by Designation.